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Five deals in balance as California lawmakers close legislative session

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Lawmakers have returned to Sacramento ready to hammer out — and potentially spike — several legislative deals before they adjourn for the year on Aug. 31 and hit the campaign trail.

Think of this year's end-of-session as a bonus episode to last year's saga over climate and energy policy. Much of the unresolved business has roots in the deal that renewed the state's carbon market. But new topics have entered the plot too, and Senate President Pro Tem Monique Limón will bring a different dynamic to negotiations among the "Big Three."

As usual, much of the negotiating will take place at the leadership level behind closed doors. Here are five deals we're watching this month.

Climate fund a centerpiece to budget talks

How to spend the state's main climate fund will be a primary sticking point this month after Gov. Gavin Newsom and legislative Democrats failed to reach an agreement in time for the June budget.

Now, they have less than a month to settle their differences. Assembly Budget Committee Chair Jesse Gabriel, an Encino Democrat, told reporters in June that the climate budget would be "at the top of the list" for negotiations during the summer recess.

Newsom and lawmakers last fall reauthorized the state's carbon market, which charges companies to pollute and deposits the dollars in the Greenhouse Gas Reduction Fund for climate programs. The deal also set the order in which projects would receive funding.

But that revenue source, which was estimated to generate $4 billion a year, could shrink by half under new climate rules the Newsom administration adopted this year, endangering funding for various legislative priorities and angering Senate Democrats, who in turn threatened to block Newsom's funding proposals and presented alternative spending plans in June.

Legislative leaders agreed to use $115 million of the fund for Newsom-backed electric vehicle incentives and another $1.25 billion to backfill the state fire department's budget. But still at stake is funding for the controversial high-speed rail project, which was set to receive $1 billion a year until 2045. Projects such as safe drinking water, affordable housing and transit are also at risk of losing funding.

Separately, top leaders put off negotiations over Proposition 4, the voter-approved $10 billion bond for climate projects. Last year, state lawmakers fought to secure a piece of the fund for pet projects, some tangentially related to environmental protection, in their own districts in a secretive process that even many lawmakers bemoaned.

California Forever

California Forever, the tech billionaires-backed group seeking to develop swaths of Solano County farmland, is hoping to get a carve-out on environmental rules for the development.

For months, the group and its labor union allies told state lawmakers the relief was necessary to help California land

a deal with Saronics Technologies Inc., a Texas-based shipbuilder they said was eyeing California for its next shipyard. The group wanted the state to streamline environmental reviews and override county restrictions for the development, but no legislation materialized as opponents accused the group of bypassing local resistance and sidestepping environmental regulations.

The shipbuilder announced last month that it would build in Texas, a decision California Forever blamed on state lawmakers. "We were passed over because … our approval process cannot accommodate the required speed without special legislation, which was not passed in time," the group said in a statement.

"California and Solano County must not miss the next opportunity," it continued.

California Forever has spent $455,000 since last year lobbying state lawmakers and the governor's office, according to its lobbying report released Friday.

The proposed development appears to have Newsom's blessing. The governor's office called a meeting Thursday to discuss the project with a couple of Solano County supervisors, California Forever representatives and Assemblymember Lori Wilson and Sen. Christopher Cabaldon, who represent the region.

Dee Dee Myers, who heads the governor's office of business and economic development that's been pushing for the development, was also present. In a memo last month, her office called the region a "world-class industrial site" and touted the importance of building a shipyard and an advanced manufacturing hub in the area.

"California is better positioned to attract billions of dollars in investment, tens of thousands of new good-paying jobs and a more resilient supply chain than it has been in decades," the memo said. "And no project represents this opportunity more clearly than the proposed Solano Shipyard and Solano Foundry."

Wildfire plan

Newsom is also proposing legislation to address growing wildfire risks in California but is not giving specifics.

Consumer advocates, wildfire survivors and insurers say he's trying to reduce utilities' liability for causing wildfires, shift wildfire recovery costs to insurance policyholders and make it harder for fire victims to get compensation or legal representation — claims Newsom's office declined to address.

Newsom spokesperson Anthony Martinez said discussions about potential legislation followed a California Earthquake Authority study in April that examined ways to better prepare California for natural disasters. The study was required by a last-minute deal Newsom and state lawmakers struck last year, which required utility companies to pay into the state's wildfire fund while allowing them to shift certain costs onto customers.

Wildfire Survivors First, a utilities-funded coalition despite its name, is lobbying state leaders to adopt several proposals listed in the study, arguing they would reduce wildfire risks and make property insurance more affordable.

Most legislative leaders were tight-lipped about the potential package. Sen. Ben Allen, a Los Angeles Democrat running for state insurance commissioner, said he would "carefully review" any legislation and urged against proposals to "simply shift around the costs consumers pay." Democratic Sen. Sasha Renée Pérez, who represents Eaton Fire survivors, said she would oppose last-minute deals to cap compensation for fire victims.

Antitrust proposal

Lawmakers will determine the fate of a controversial bill that would give Californians the ability to sue large companies in state court for using monopolistic practices to stifle competition.

The bill, known as the COMPETE Act, has infuriated the business community and set the California Chamber of

Commerce on a warpath. The powerful industry group has called Assembly Bill 1776 "the largest expansion of antitrust law in world history" and warns its members that the legislation would "leave every business of every size in California vulnerable to massive legal liability."

Business advocates also argue that the bill gives predatory law firms a new way to shake down California businesses by opening the floodgates for what's known as "private right of action" lawsuits. For years, business owners have complained about California laws that allow activists and a cottage industry of lawyers to bombard them with cash demands and lawsuits over disability access, product warning labels, labor complaints and consumer privacy.

The legislation, authored by Assembly Majority Leader Cecilia Aguiar-Curry, a Winters Democrat, has support from labor-friendly progressive lawmakers, but also some who have more moderate records such as Assemblymember Jasmeet Bains and Senator Melissa Hurtado, both Central Valley Democratic lawmakers.

Several of the state's most powerful unions have lined up as co-sponsors, including the California Federation of Labor Unions, SEIU California and the United Food and Commercial Workers.

The bill is scheduled to be heard in the Senate appropriations committee on Aug. 10.

Assault claims

Los Angeles County is leading a behind-the-scenes effort to limit lawsuits from Californians who allege they were abused as children by public employees while in county or school district custody.

The effort comes in response to a deluge of lawsuits that followed a 2019 law that dramatically expanded the time people have to sue for the alleged abuse. Survivors now have until they turn 40 to file claims, rather than the previous cutoff of age 26 or within five years of becoming aware of trauma caused by the alleged abuse. The resulting litigation and settlements have cost counties and school districts billions of dollars.

Last April, the Los Angeles County Board of Supervisors approved a $4 billion settlement with 6,800 people who claimed they suffered abuse while in county juvenile detention facilities. Some of those cases dated back more than 65 years.

Lawmakers attempted to broker a compromise, Senate Bill 577, at the end of last session that would satisfy survivors and roll back the scope of the law to provide some financial reprieve to cash-strapped counties and school districts. But that effort, led by Sen. John Laird, a Democrat from Santa Cruz, couldn't gain traction, and Laird eventually shelved the issue.

Now, public employee unions are pushing for a reprieve again, largely to avoid potential pay concessions from their financially burdened public employers. Negotiations will likely take place at the Democratic leadership level between Limón and Assembly Speaker Robert Rivas.

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